



InvestPuppy
investpuppy.com

UNVARNISHED

Complexity as cover: The consultant layer

Serious when it matters.

About InvestPuppy

InvestPuppy builds Vektor, a systematic portfolio management platform for wealth management professionals.

What this series is

Every experienced practitioner thinks it. Almost nobody publishes it: *there has to be a better way.*

We thought it long enough that we went and built one.

Before that, we spent decades in the rooms.

The same project was failing for the third time. The project plan had been signed off before anyone had understood the first requirement.

The relationship was too warm for anyone to say so.

It isn't incompetence.

It's the incentive structure doing its job perfectly.

Nobody planned it this way. Nobody needed to.

We got frustrated enough to write it down. Then frustrated enough to build something. These papers are the writing-it-down part.

The something we built is a separate conversation.

The consultant's primary product is not advice. It is a document. The document exists to justify the advice, to evidence the engagement, and to ensure that when the project fails, the advice was correctly recorded. The document does not make the project succeed. It makes the failure legible.

1. The Structure of the Relationship

There is nothing dishonest about the consulting relationship as it is typically structured. The vendor sells software. The client buys software. Between them, one or more consulting firms are engaged to manage the implementation. The consulting firms charge by the day. This is where the incentive problem begins — not with bad faith, but with arithmetic.

A ten-week implementation produces one invoice. A twenty-week implementation produces two. The consulting firm does not plan for the project to extend. It does not need to. The conditions that produce extension are already present in the structure of the engagement: an underdefined specification, a client who cannot evaluate

what they are being told, and a project plan built before anyone understood the workflow it was meant to describe.

Nobody produced these conditions deliberately. Nobody needed to. The incentive structure produced them automatically.

The question is not whether the consultant wants the project to succeed. Most do. The question is whether the conditions under which they are paid require the project to succeed. They do not. They require the project to continue.

2. When There Is More Than One Firm

The single-firm engagement is the idealised case. The real case is more complicated: a systems integrator managing the technical implementation, a strategy firm that scoped the transformation, and a change management practice running the adoption programme. Three firms, three commercial relationships, three sets of incentives – none of which are aligned with each other, and none of which are fully transparent to the client.

Each firm is protecting its relationship, its intellectual property, and its position for the next engagement. The systems integrator wants a clean technical handoff, regardless of whether the business is operationally ready to receive it. The strategy firm that designed the target operating model has a vested interest in the architecture remaining complex enough to require ongoing advisory. The change management practice is incentivised to run programmes, not to produce adoption.

When something goes wrong in a multi-firm engagement, each firm's first move is to locate responsibility in another firm's workstream. The client watches three parties explain why it is someone else's fault while

the project continues to fail. The blame routes between firms in a way that is entirely invisible to the client and produces a specific result: nobody is accountable for the outcome, only for their workstream. The project belongs to all of them. Which is to say, it belongs to none of them.

3. Complexity as a Product

Complexity is not an inevitable feature of financial software implementations. It is, in many cases, a product – produced and maintained by the parties who benefit from its existence.

A complex project plan requires a project manager. A complex integration architecture requires a solutions architect. A complex change management workstream requires a change management consultant. None of these roles is unnecessary in the abstract. All of them become necessary once the project has been structured to require them.

The consultant who simplifies is the consultant who reduces their own engagement. This is not a character flaw. It is a rational response to a rational incentive. The implementation that could have been delivered in eight weeks with three people becomes the implementation delivered in twenty-four weeks with nine, because the specification was constructed in a way that made the longer engagement the only legible path.

The client, who cannot evaluate the specification independently, accepts it. The project begins.

No practitioner, managing live client portfolios while attending project workshops, has ever thought: what would really help now is a few more cleverly constructed slides. They need a working system, configured for how they actually operate. The consultant's deliverables are not designed to produce that. They are designed to evidence the engagement.

4. The Legibility Problem

The client's inability to evaluate the specification is not stupidity. It is a structural feature of the market. Financial software is complex. The people who understand it in detail are, by definition, the people who have been working in it — which means the vendor and the consulting firms. The client is buying expertise they do not have. This is the correct reason to engage a consultant.

The problem arises when the information asymmetry that justified the engagement is then used to extend it. The client cannot challenge a timeline they cannot evaluate. They cannot simplify an architecture they cannot read. They can ask whether it seems reasonable, and they will be told that it does.

The warmth of the consulting relationship is the mechanism by which this asymmetry is maintained. A trusted adviser is harder to challenge than a vendor. Asking whether the project could be simpler feels like asking whether the advice was good.

The relationship was built to prevent that question from being asked comfortably. In a multi-firm engagement, each relationship performs this function independently. Nobody designed it this way. Nobody needed to.

The complexity belongs to the engagement. Which means it belongs to no one.

5. What a Better Engagement Looks Like

A consulting engagement structured around outcomes rather than duration looks different from the outside. The project plan is shorter. The workstreams are fewer. The specification is written in language the client can read and challenge. Milestones are tied to functional delivery, not document production. Where multiple firms are engaged, accountability for the outcome — not just the workstream — is assigned explicitly, at contract stage, before the relationship has been built and the complexity installed.

Three questions worth asking before the engagement begins:

One. Is the project plan written in language our operations team can evaluate without assistance?

Two. Are the milestones defined by what the system does, or by what documents have been produced?

Three. If we are engaging multiple firms, which single entity is accountable for the outcome — and what happens to their engagement if the outcome is not delivered?

The consultant layer is not the problem. An engagement structure that rewards complexity and diffuses accountability is the problem.

They are not the same thing.